

Vineet Plastics Ltd. v. Purvanchal Vidyut Vitran Nigam Ltd. and Another

Allahabad High Court · Division Bench · 27 January 2014 · 2014 SCC OnLine All 1387 · Writ - C No. 4141 of 2014 · **Writ petition allowed to the extent indicated; the provisional monthly bills for October, November and December 2013 quashed, with liberty to the licensee to issue rectified bills as per law**

HEADNOTE

A licensee cannot issue a series of provisional (assessment) monthly bills to a consumer for the period after an inspection without any statutory or Code provision authorising it. A provisional assessment bill under Section 126 of the Electricity Act, 2003 can be issued only after an inspection and with an opportunity to object; the only Code provision for a provisional bill is Clause 6.2(b), which applies where the meter reading cannot be taken; and disputes about a regular bill lie under Clause 6.5. Here, following an inspection and provisional assessment, the licensee kept issuing undated 'provisional' monthly bills for October-December 2013 without deciding the consumer's objections (which alleged a major variance between the premises meter and the pole meter). Since no provision permitted such serial provisional billing, the three provisional monthly bills were quashed, with liberty to the licensee to rectify them per law (any excess to be paid/any shortfall to be adjusted with interest), and any check-meter to be installed at the licensee's own expense.

HOLDING-UNITS

INTERPLAY · UP-2005::6.2

No series of provisional assessment bills may be issued without a statutory or Code basis

QUESTION

May a licensee issue a series of provisional monthly assessment bills for the post-inspection period without any provision in the Act or the Code authorising it?

HOLDING

No. A series of provisional assessment bills cannot be given unless the Statute or the Supply Code so provides. A provisional assessment under Section 126 follows an inspection and requires an opportunity to object; the only Code provision for a provisional bill is Clause 6.2(b), confined to cases where the meter reading cannot be taken; and disputes over a regular bill lie under Clause 6.5. As the licensee could point to no provision for the serial provisional monthly bills issued without deciding the consumer's objections, the bills for October, November and December 2013 were quashed, with liberty to issue rectified bills per law (excess payable / shortfall adjusted with interest) and any check-meter to be installed at the licensee's own expense. ¶ (pp. 528-530)

LIMITING FACTS

Post-inspection undated 'provisional' monthly bills issued serially while the consumer's objections (alleging major meter variance) remained undecided; the licensee's counsel conceded the mistake in issuing such provisional bills.

PRINCIPLE TAGS

no-series-of-provisional-bills-without-statutory-basis Provisional assessment bills cannot be issued serially in the absence of a provision in the Act or the Code; provisional billing under Clause 6.2(b) is confined to cases where the meter reading cannot be taken, and regular-bill disputes lie under Clause 6.5. ¶ (pp. 529-530)

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — THE CORRECTNESS OF THE EARLIER INSPECTION-BASED PROVISIONAL ASSESSMENT (BILL OF 11.10.2013) AND THE METER-VARIANCE DISPUTE

The present petition concerned only the subsequent monthly bills; the earlier provisional assessment abided the licensee's decision on the consumer's testing application (per the order in W.P.(C) 61773 of 2013). ¶ (p. 528)

